Branson's arbitrage is his innovative offerings in the industries he plunges into. Eventually, many of his innovations get copied by competitors, the moat shrinks, and the arbitrage spread collapses. But again, that spread can last for well over a decade or two.

When Mittal picks up assets for pennies on the dollar and then streamlines operations, he has an unassailable low-cost producer advantage. Over the years, he has developed a second enduring advantage—global arbitrage on labor, raw materials, energy costs, and the best-selling price. With plants in a wide range of geographies, he optimizes the type and quantity of steel produced by geography to maximize this advantage. And now, his tremendous scale and brand gets him a third enduring advantage. His volumes and capacity allow him to negotiate better prices than his competitors with both buyers and suppliers—driving his costs even lower.

7. BUY BUSINESSES AT BIG DISCOUNTS TO THEIR UNDERLYING INTRINSIC VALUE.

It is unlikely that Papa Patel ever read *The Intelligent Investor* [10] by Benjamin Graham or even heard of Graham's "margin of safety" edict. Nonetheless, Papa Patel intrinsically understands the concept of minimizing downside risk before ever looking at upside potential. If you buy an asset at a steep discount to its underlying value, even if the future unfolds worse than expected, the odds of a permanent loss of capital are low. That's exactly what Papa Patel did. He had a huge margin of safety when he bought the motel. According to Benjamin Graham:

> . . . the function of the margin of safety is, in essence, that of rendering unnecessary an accurate estimate of the future.[11]
>
> *—Benjamin Graham*